

**Time:** 4 minutes**Outcome:** Identify Market Structure & Product Differentiation.**Difficulty:**

Intermediate

Market Structure & Product Differentiation



THE CORE IDEA

Monopolistic competition combines many firms and relatively easy entry with differentiated products and limited price-setting power. Entry and exit operate in both models. Differentiation explains why an individual firm faces downward-sloping demand despite many sellers and easy entry. The practice is differentiating the service experience rather than relying on a legal barrier or identical product. Differentiation makes the firm's product an imperfect substitute, so its individual demand curve slopes downward.



HOW TO RECOGNIZE IT

- A market has many sellers and easy entry.
- A dental practice competes mainly through evening hours, online scheduling, and unusually fast appointments.
- A restaurant has many nearby rivals, but customers value its menu and atmosphere enough that a small price increase does not drive everyone away.
- A market has many small sellers and easy entry, but every seller offers exactly the same product.
- A neighborhood café competes through atmosphere, menu, and location.



WATCH OUT

A common mistake is to misapply monopolistic competition rule. Differentiation explains why an individual firm faces downward-sloping demand despite many sellers and easy entry.



WORKED EXAMPLE: IDENTIFYING PRODUCT DIFFERENTIATION

A city has many coffee shops, entry is relatively easy, and each shop offers a distinct menu and atmosphere. Because customers view the shops as close but imperfect substitutes, each shop faces downward-sloping demand and has limited price-setting power. Those facts identify monopolistic competition.



CHECK YOURSELF

Why is a differentiated firm's demand downward sloping?

**READY?**

Return to the game and master this concept.